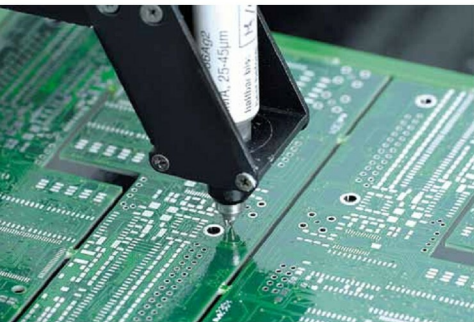


SMT Equipment Market in India Evolving Slowly But Steadily

The launch of the new manufacturing policy will see that the SMT market doubles its present growth rate



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Availability of cost-effective and skilled labour has made India a major hub for electronics manufacturing. And the need to address the increasing electronics consumption demand has made the manufacturers go in for highly advanced surface mount technology (SMT) equipment. The growing demand in manufacturing of electronic products directly influences the sale of SMT equipment. Hence, in the last few years, dozens of SMT companies have made their way into the Indian market. SMT equipment is constantly

evolving due to the increasing capability and decreasing size of electronics. Over the years, there has been a substantial change in the manufacturing processes in the electronics sectors, which is increasing the demand for high-speed machines. The SMT equipment market in India is therefore witnessing steady growth fuelled by the demand from various end-user sectors. Today the size of the Indian SMT market is worth Rs 2.25 billion, according to an estimate.

Growth and driving factors

The major driving sectors such as communications, consumer, industrial,

automotive, medical and defence/strategic electronics, where electronics penetration has been on the rise, is bolstering the steady growth of the SMT equipment market in India. "The market is improving as various OEMs are taking keen interest in SMT equipment to start inhouse facility. Soon we will see big changes in this domain," says M.K. Krishnakumar, country manager, Essentec India.

Consumer electronics (LCD TV sets) and lighting (CFL and LED) are some of the segments for which SMT machines are widely used. Today, defence electronics products need high-end machines for assembly. The mobile revolution is also necessitating indigenous manufacturing of various telecom products, thus creating demand for SMT equipment. "Most SMT machines sold in India in recent times are in the telecom sector for producing mobile phones and network equipment," informs Ashutosh Agate, managing director, Agate & Agate Marketing Resources.

The automotive industry too, is replacing its older technology equipment with SMT equipment to improve efficiency in the production process. "Automobiles are also using an increasing percentage of electronic components and control units, and local manufacturing of automotive electronic products is further driving the demand for SMT equipment to improve production efficiency," says Prasad Gurjal, managing partner, Drive Technologies.